Cost Audit

vs Financial Audit

same company, different lens!

Cost and Management Audit

In simple words *Financial audit checks the final accounts. Cost audit checks cost records and cost statements.*

1 Cost Audit

Verification of cost accounts and records, and a check that they follow the cost accounting rules and principles applicable to the company.

Looks at costs, not the profit figure alone

2 Financial Audit

Examination of financial statements to give an opinion on whether they show a true and fair view.

Opinion goes to members

1. Cost audit is about cost records and cost statements; financial audit is about financial statements.
2. Cost auditor is a cost accountant in practice; financial auditor is a chartered accountant.
3. Cost audit report goes to the Board, not to members like the financial audit report.
4. Cost audit also helps management with cost control and efficiency.



Swipe for the summary →

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THE 5-POINT COMPARISON

learn the contrast, win the MCQ

Cost Audit vs Financial Audit

POINT	FINANCIAL AUDIT	COST AUDIT
Subject matter	Financial statements	Cost records and cost statements
Main aim	True and fair view	Cost accuracy, compliance, efficiency
Auditor	Chartered accountant	Cost accountant in practice
Appointed by	Members	Board; members ratify the fee
Report to	Members	Board of Directors

DIFFERENT EYES, DIFFERENT READERS! Financial audit serves members and outsiders; cost audit serves the Board and management for cost matters.

Swipe for a memory trick →

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STUDY TRICK

Cost Audit vs Financial Audit

F for Fee, C for Cost

MEMBERS READ F, BOARD READS C

F: Financial audit report is read by Members. C: Cost audit report is submitted to the Board. Picture two readers at two tables.

HOW TO ATTEMPT IT

1 Read what is being audited → 2 Identify the auditor type →

3 Check who appoints the auditor → 4 Check who receives the report →

5 Match with the correct option

EXAM TIP

In comparison MCQs, check the recipient of the report and the auditor's qualification first. Options often swap these.

DOUBT BUSTER

Does cost audit replace financial audit? No. Both are separate. Cost audit does not give an opinion on true and fair view of the financial statements.

Swipe for common mistakes →

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COMMON MISTAKES

Cost Audit vs Financial Audit

Don't swap the two audits!

✗ Cost audit report is addressed to the members

✓ The cost auditor submits the report to the Board of Directors.

✗ Cost auditor can be any chartered accountant

✓ The cost auditor must be a cost accountant in practice.

✗ Cost audit gives a true and fair view opinion

✓ True and fair view is the financial audit's aim; cost audit verifies cost records and statements.

✗ Cost audit makes financial audit unnecessary

✓ Each is done separately for its own purpose.

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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